5-5 Management Savvy

Learning Objective 5-5

Draw implications for action.

How does this chapter answer the big question in global business, adapted for the context of international trade: What determines the success and failure of firms' exports around the globe? The two core perspectives lead to two answers. Fundamentally, the various economic theories underpin the resource-based view, suggesting that successful exports are valuable, unique, and hard-to-imitate products generated by certain firms from a nation (see the Opening and Closing Cases). However, the political realities stress the explanatory and predictive power of the institution-based view: As rules of the game, institutions—such as laws and regulations promoted by various special interest groups—can protect certain domestic industries, firms, and individuals; erect trade barriers; and make the nation as a whole worse off.

Three implications for action emerge (Table 5.6). First, location, location, location! In international trade, the savvy manager's number-one job is to leverage comparative advantage of world-class locations. Shown in the Opening Case, one crucial reason behind China's rise as the world's top merchandise exporting nation is that many non-Chinese managers at non-Chinese firms have discovered China's comparative advantage as a low-cost production location. As a result, they set up factories and export from China—*two-thirds* of the value-added of Chinese exports is generated by such foreign-invested firms.

Table 5.6

Implications for Action

- Discover and leverage comparative advantage of world-class locations.
- Monitor and nurture the current comparative advantage of certain locations, and take advantage of new locations.
- Be politically active to demonstrate, safeguard, and advance the gains from international trade.

Second, comparative advantage is not fixed. Managers must constantly monitor and nurture the current comparative advantage of a location and take advantage of new promising locations. Managers who fail to realize the departure of comparative advantage from certain locations are likely to fall behind. For example, numerous German managers have moved production elsewhere, citing Germany’s relatively reduced comparative advantage in basic manufacturing. However, they still concentrate top-notch, high-end manufacturing in Germany, leveraging its excellence in engineering.

Third, managers need to be politically active if they appreciate the gains from trade. In times of economic difficulties, governments are often under pressure to adopt protectionist policies. While managers at many uncompetitive firms have long mastered the game of twisting politicians’ arms for more protection, managers at competitive firms, who tend to be pro-free trade, have a tendency to shy away from “politics.” They often fail to realize that free trade is *not* free—it requires constant efforts and sacrifices to demonstrate, safeguard, and advance the gains from such trade. For example, the US–China Business Council, a pro-free trade (in particular, pro-China trade) group consisting of 250 large US firms that are active in China (such as Coca-Cola and GE), has stood up and spoken out against various “China bashers.”